## SECTION 1 – Dallock

*All journal entries are in £'000.*

## QUESTION 1 – Share issues

*Preference shares*

As the preference shares are irredeemable and the dividend is discretionary, Dallock has no obligation relating to the shares.

Therefore, the shares should be included in equity and the amount raised allocated to share capital and share premium.

Share capital = 3,000k x £1 = £3,000k
Share premium = 3,000k x 20p = £600k

| | | | | |
|---|---|---|---|---|
| **JE 1** | Dr | Suspense account | 3,600 | |
| | Cr | Preference share capital | | 3,000 |
| | Cr | Share premium | | 600 |
| | Being correction to recording issue of shares | | | |

*Share options*

The excess over the nominal value of the shares issued should be credited to share premium, not retained earnings.

| | | | | |
|---|---|---|---|---|
| **JE 2** | Dr | Retained earnings | 696 | |
| | Cr | Share premium | | 696 |
| | Being correction to recording proceeds of exercise of options | | | |

*Rights issue*

The number of shares issued should be based on 90% of the ordinary shares in issue on 30 April 2025 on the basis of one new share for every four held.

The proceeds of the rights issue should be allocated to share capital and share premium.

Number of shares issued = [(20,000k + 240k)/4] x 90% = 4,554k

Share capital = 4,554k x 50p = £2,277k
Share premium = 4,554k x (£3.00 – 0.50) = £11,385k

| | | | | |
|---|---|---|---|---|
| **JE 3** | Dr | Suspense account | 13,662 | |
| | Cr | Ordinary share capital | | 2,277 |
| | Cr | Share premium | | 11,385 |
| | Being recording proceeds of rights issue | | | |

## QUESTION 2: Revaluation of properties

*Office building*

IFRS 13 requires that non-financial assets are valued based on their highest and best use if this use is physically possible (as stated in the question), legally permissible (planning consent has been granted for similar buildings) and financially feasible (assumed due to active local market).

In this case the office building could be used as housing units and the fair value should be based on this use.

The highest and best use is determined from the perspective of market participants, even if, as in this case, the owner intends a different use.

Fair value gain = £7,800k valuation - £5,460k carrying amount = £2,340k

| | | | | |
|---|---|---|---|---|
| **JE 4** | Dr | PPE - property | 2,340 | |
| | Cr | OCI – revaluation surplus | | 2,340 |
| | Being revaluation of office building | | | |

*Warehouse*

As there are no properties in the local area similar to the warehouse the valuer has been unable to determine a market value for the warehouse and therefore the market cannot be used.

However, a cost approach is an acceptable valuation technique under IFRS 13. The fair value is based on what a replacement asset would cost a market participant adjusted for obsolescence eg physical deterioration due to age.

In this case the warehouse only had 16 years remaining useful life compared with 25 years for a new warehouse and therefore the fair value is £8,960k.

Fair value gain = £8,960k valuation - £7,600k carrying amount = £1,360k

| | | | | |
|---|---|---|---|---|
| **JE 5** | Dr | PPE - property | 1,360 | |
| | Cr | OCI – revaluation surplus | | 1,360 |
| | Being revaluation of warehouse | | | |

## QUESTION 3: Deferred tax

*a) Why deferred tax arises*

Financial statements are prepared in accordance with accounting principles and standards whilst the tax expense for the year is calculated in accordance with tax legislation and practice.

When transactions are recognised in the financial statements of one period but will be taxed or given tax relief in a future period, a taxable or deductible temporary difference arises.
Deferred tax is the amount of tax payable (a liability) or recoverable (an asset) on these temporary differences.

*b) Deferred tax at 30 April 2025*

| | TTD | DT at 25% |
|---|---|---|
| | *£'000* | *£'000* |
| ACA | 3,300 | 825 |
| Revaluation surplus: £3,700k + £2,340k (JE4) + £1,360k (JE5) | 7,400 | 1,850 |
| DT liability at 30 April 2025 | | 2,675 |
| DT liability at 30 April 2024 | | 1,825 |
| Increase in DT liability | | 850 |

DT on increase in revaluation surplus = (£2,340k + £1,360k) x 25% = £925k

*Note: This could also be calculated as £1,850k (per working above) - £925k (PY per question).*

| | | | | |
|---|---|---|---|---|
| **JE 6** | Dr | OCI - Revaluation surplus | 925 | |
| | Cr | SPL – deferred tax expense | | 75 |
| | Cr | Deferred tax liability | | 850 |
| | Being movement in deferred tax | | | |

## QUESTION 4: Statement of changes in equity

### Dallock plc
### Statement of changes in equity for the year ended 30 April 2025

| | *Ordinary share capital* | *Preference share capital* | *Share premium* | *Retained earnings* | *Revaluation surplus* | *Total* |
|---|---|---|---|---|---|---|
| | *£'000* | *£'000* | *£'000* | *£'000* | *£'000* | *£'000* |
| At 1 May 2024 | 10,000 | Nil | 2,850 | 13,560 | 3,700 | 30,110 |
| Issue of share capital (W1) | 2,397 | 3,000 | 12,681 | | | 18,078 |
| Dividends | | | | (640) | | (640) |
| Total comprehensive income (W2) | | | | 3,229 | 2,775 | 6,004 |
| At 30 April 2025 | 12,397 | 3,000 | 15,531 | 16,149 | 6,475 | 53,552 |

*Working 1: issue of share capital*

| | *Ordinary share capital* | *Preference share capital* | *Share premium* |
|---|---|---|---|
| | *£'000* | *£'000* | *£'000* |
| JE 1 | | 3,000 | 600 |
| JE 2 | | | 696 |
| JE 3 | 2,277 | | 11,385 |
| Exercise of options per question | 120 | | |
| Total | 2,397 | 3,000 | 12,681 |

*Working 2: total comprehensive income*

| | *Revaluation surplus* | *Retained earnings* |
|---|---|---|
| | *£'000* | *£'000* |
| Draft SOCI | | 3,850 |
| JE 2 | | (696) |
| JE 4 | 2,340 | |
| JE 5 | 1,360 | |
| JE 6 | (925) | 75 |
| | 2,775 | 3,229 |

## QUESTION 5: Interim report

*Comment on proposal to prepare a seven-month interim report*

IAS 34 encourages an entity to provide interim reports at least as of the end of the first half of its financial year, ie after six months which would be 31 October 2025.

Therefore, having a seven-month reporting period for the interim report would not be in keeping with the aim of the standard.

IAS 34 encourages publication of an interim report within 60 days of the end of the interim reporting period which would be 30 December 2025 and therefore publication in March would not meet this deadline.

*Basis of preparation of interim report*

The interim report should be based on the actual transactions and events of the period covered and not a proportion of the estimated amounts for the full year.

Exceptions to this are amounts that are normally measured on an annual basis eg taxation, which are included proportionately based on estimated annual totals.

The accounting policies used in preparing the interim report should be the same as those used in its annual financial statements.

## SECTION 2 – Weller

*All journal entries are in £'000.*

## QUESTION 6 – Consolidation journals

Weller gains control of Doe on 31 March 2024. The group owns 55% of the shares ((10,000 + 45,000)/100,000) and the NCI owns 45%.

*Step 2 – Recognise goodwill and NCI at the date of acquisition*

At 31 March 2024T

| | *£'000* | *£'000* |
|---|---|---|
| Investment in Doe (£275k + £750k) | | 1,025 |
| NCI share of net assets (45% x £450k) | | 203 |
| *Less: fair value of net assets* | | |
| Share capital | 100 | |
| Retained earnings | 450 | |
| FV adjustment - bond | (100) | |
| | | (450) |
| Goodwill at acquisition | | 778 |

| | | | | |
|---|---|---|---|---|
| **JE 1** | Dr | Share capital | 100 | |
| | Dr | Retained earnings | 450 | |
| | Dr | Goodwill | 778 | |
| | | Cr Investment in Doe | | 1,025 |
| | | Cr NCI (SOFP) | | 203 |
| | | Cr Financial liabilities – bond | | 100 |

Being the elimination of investment and recognition of goodwill and non-controlling interests.

*Step 2 - Increase in controlling interests*

| | *£'000* |
|---|---|
| Additional investment in Doe | 300 |
| Net assets acquired from NCI (20% x (£100k + £600k)) | 140 |
| Loss to retained earnings | (160) |

| | | | | |
|---|---|---|---|---|
| **JE 2** | Dr | NCI (SOFP) | 140 | |
| | Dr | Retained earnings | 160 | |
| | | Cr Investment in Doe | | 300 |

Being elimination of additional investment and reduction in non-controlling interests

*Step 3 – impairment to goodwill - N/A*

*Step 4 – N/A*

*Step 5 – allocate share of subsidiary's current year profit/loss and other gains/losses to non-controlling interests*

NCI share of profit for the year: 45% x £250k = £112,500

| | | | | |
|---|---|---|---|---|
| **JE 3** | Dr | SPL – non-controlling interests | 113 | |
| | | Cr NCI (SOFP) | | 113 |

Being non-controlling interests' share of current year profit.

*Step 6 – Subsequent FV adjustment to financial liability*

| | *£'000* |
|---|---|
| Finance cost already recognised | 50 |
| Correct finance cost: 4% x £1,100k | 44 |
| Reduction required | 6 |
| | |
| NCI impact of reduction (45% x £6k) | 3 |

| | | | | |
|---|---|---|---|---|
| **JE 4** | Dr | Financial liability – bond | 6 | |
| | | Cr SPL – finance costs | | 6 |

Being the reduction in finance costs.

| | | | | |
|---|---|---|---|---|
| **JE 5** | Dr | SPL – non-controlling interests | 3 | |
| | Cr | NCI (SOFP) | | 3 |
| | Being the non-controlling interest share of the adjustment. | | | |

*Step 6 – Intragroup trading*

| | *£'000* |
|---|---|
| Unrealised profit (50% x (20% x £500k)) | 50 |
| NCI share of unrealised profit (45% x £50k) | 23 |

| | | | | |
|---|---|---|---|---|
| **JE 6** | Dr | SPL – Revenue | 500 | |
| | Cr | SPL – Cost of sales | | 500 |
| | Being the elimination of intercompany transactions. | | | |
| **JE 7** | Dr | SPL – Cost of sales | 50 | |
| | Cr | Inventories | | 50 |
| | Being the elimination of unrealised profit. | | | |
| **JE 8** | Dr | NCI (SOFP) | 23 | |
| | Cr | SPL – non-controlling interests | | 23 |
| | Being the non-controlling interest share of unrealised profit. | | | |

*Step 6 – dividends from Doe*

| | *£'000* |
|---|---|
| Parent share of dividend (£120k x 55%) | 66 |
| NCI share of dividend (£120k x 45%) | 54 |
| | 120 |

| | | | | |
|---|---|---|---|---|
| **JE 9** | Dr | SPL – Finance income | 66 | |
| | Dr | NCI (SOFP) | 54 | |
| | Cr | Retained earnings | | 120 |
| | Being the elimination of intercompany dividends. | | | |

## QUESTION 7 – Construct CSPL (5 marks)

### K-dot-Weller Ltd Consolidated statement of profit or loss for the year ended 31 March 2025

| | *Weller group (excluding Doe)* | *Doe Ltd* | *JE3* | *JE4* | *JE5* | *JE6* | *JE7* | *JE8* | *JE9* | *Total* |
|---|---|---|---|---|---|---|---|---|---|---|
| | *£'000* | *£'000* | *£'000* | *£'000* | *£'000* | *£'000* | *£'000* | *£'000* | *£'000* | *£'000* |
| Revenue | 32,090 | 10,280 | | | | (500) | | | | 41,870 |
| Cost of sales | (17,271) | (7,878) | | | | 500 | (50) | | | (24,699) |
| Gross profit | 14,819 | 2,402 | | | | | | | | 17,171 |
| | | | | | | | | | | |
| Finance income | 200 | - | | | | | | | (66) | 134 |
| Distribution costs | (1,244) | (673) | | | | | | | | (1,917) |
| Administrative expenses | (3,650) | (1,109) | | | | | | | | (4,759) |
| Finance costs | (100) | (65) | | 6 | | | | | | (159) |
| Profit before tax | 10,025 | 555 | | | | | | | | 10,470 |
| Income tax expense | (1,782) | (305) | | | | | | | | (2,087) |
| Profit for the year | 8,243 | 250 | | | | | | | | 8,383 |
| | | | | | | | | | | |
| Profit attributable to: | | | | | | | | | | |
| Owners of the parent | 8,211 | | | | | | | | | 8,258 |
| Non-controlling interests | 32 | | 113 | | 3 | | | (23) | | 125 |
| | 8,243 | | | | | | | | | 8,383 |

**)**

## QUESTION 8 – Accounting for joint venture

Doe is not required to prepare consolidated financial statements as it does not have any subsidiaries and therefore does not form a group.

Doe must therefore account for the joint venture in its separate financial statements, in accordance with IAS 27 *Separate Financial Statements*.

The investment can be accounted for:

(a) At cost, in which case the initial amount paid to purchase the shares would be recorded; or

(b) In accordance with IFRS 9, as a financial asset; or

- As the investment is in shares and Doe is not entitled to any contractual cash flows, the JV would be measured at fair value through profit or loss.

(c) Under the equity method as described in IAS 28.

- This means the investment will be initially measured at cost.
- Subsequently, Doe's share of the JV's profit/loss would be recognised in the statement of profit or loss and recorded against the investment.
- Any amounts of intercompany trading balances and transactions would not be eliminated, although Doe's share of any unrealised profits on transactions between Doe and the JV would be eliminated.

## SECTION 3 – Lion

### QUESTION 9 – Purpose of integrated reporting and links to sustainability

*Purpose of IR*

The purpose of integrated reporting is to explain to providers of financial capital how an organisation creates value over time.

*How sustainability matters are incorporated*

IR encourages organisations to report not only on financial outcomes but also on sustainability factors.

IR considers how value is created by transforming “capitals” including natural capital, which includes all environmental resources, and social and relationship capital which align with the ESG aspects of sustainability.

The holistic approach used in integrated reporting helps organisations disclose their sustainability practices and impacts, illustrating how they contribute (or not) to various capitals.

## QUESTION 10 – Ethics

*Issue*

The finance director would like to avoid spending time or money preparing information in accordance with IFRS Sustainability Disclosure Standards as she does not appear to see the value in providing sustainability-related information.

*Objectivity*

The finance director has suggested that investing in the resources needed to gather more information would result in a reduced bonus, which is a threat to the objectivity of both you and the finance director.

*Professional behaviour*

The finance director is suggesting that information is manipulated to be made to look to be compliant with IFRS Sustainability Disclosure Standards. This attempt to deceive/mislead shows a lack of professional behaviour.

*Professional competence and due care*

The finance director's professional competence and due care is in question as she does not have knowledge of the requirements of the IFRS Sustainability Disclosure Standards necessary for her role and therefore does not have the skills required to understand what information should be disclosed in accordance with the Standards.

## QUESTION 11 – Requirements under IFRS S2, para 33

*Conclusion*

The extract from the integrated report partially meets the requirements of IFRS S2 *Climate-related Disclosures* para 33.

*Quantitative and qualitative climate-related targets*

Lion does provide quantitative and qualitative targets in its disclosure by setting out a 30% (quantitative) reduction in $CO_2e$ emissions by 2030 (qualitative – alignment with a low-carbon future).

*Targets required by law or regulations*

Only the greenhouse gas emissions target and metric is included in the IR extract.

The IR extract does not refer to any other climate-related target Lion is required to meet by law or regulation, which there is likely to be in the car manufacturing industry.

*Requirement (a)*

Lion provides a carbon intensity metric (emissions per unit of production) as the primary measure for tracking progress which is clear and specific and meets requirement (a).

*Requirement (b)*

Lion clearly states the objective is to reduce GHG emissions to contribute to a lower-carbon future which is clear and meets requirement (b).

*Requirement (c)*

Lion states that the target applies to manufacturing operations globally and therefore meets the requirement.

*Requirement (d)*

The disclosure states a clear target period of 2024-2030 which meets requirement (d).

*Requirement (e)*

The disclosure identifies 2020 as a baseline year which meets requirement (e).

*Requirement (f)*

The disclosure states that progress will be reviewed annually which implies a degree of ongoing monitoring.

However, to fully meet requirement (f), Lion should include formal interim targets or milestones that enhances clarity around progress checkpoints over the target period.

**END OF SOLUTION**